

Guide to Writing a Case Analysis Memo

This memo provides guidance on writing a case analysis and a template for your use during this course.

What's new in this version (aligned with Strat-IQ v3)

- A menu of optional exhibits (J-1, K-1, K-2, P to U) that Strat-IQ v3 builds, with when to use each.
- Statistical decision making: Exhibit Q-2 (Expected Value) and the new Exhibit Q-3 (Risk Analysis: sensitivity, simulation, and what a pilot is worth). The Analysis section now asks you to cite them when the decision involves money and uncertainty.
- The Decision Matrix (M) now rates alternatives on the same 1-5 scale as the criteria weights (L) and the Strat-IQ tools.
- The Customer Segment Lifetime Value exhibit is now Exhibit O (it was lettered I, which duplicated VRIO), and the duplicate worked example has been removed.

Understanding the Memo Format

A case analysis memo is a professional document that clearly and concisely presents your recommendations and analysis. Unlike lengthy reports, memos are designed for quick comprehension while maintaining analytical rigor. The standard format helps readers quickly locate key information and follow your reasoning.

Every organization may have its own standards for the structure of different types of memos or reports, and you need to find out as soon as possible and adhere to them. This course uses one such format, and you are expected to follow it rigorously. The course rubric will grade you based on your adherence to the format as one component of your grade.

Memo Format:

[Case Name]

TO: [Recipient Name and Title]

FROM: [Your Name and Title]

DATE: [Current Date]

SUBJECT: [Clear, Specific Topic]

CC: [Other Recipients if applicable]

Key Issues/Introduction

[Write 1-2 paragraphs addressing:

- Central problem requiring a decision.
- Questions management need answered.
- Required goals that the recommended solutions must achieve.

- Do not mention your recommended solutions in this section. They are introduced in the very next section.
- Never refer to yourself in the memo. You do not have any credibility as a world-renowned expert. Management wants recommendations based on facts and logic, not your opinion.
- This section sets up the framework for your recommendations. This section should be concise and brief (1-2 paragraphs) but comprehensive enough to give readers a clear understanding of the situation. It also assures management that you understand and address the right issue(s). **IT DOES NOT REPEAT CASE INFORMATION THAT IS ALREADY KNOWN TO MANAGEMENT!**

Recommendations

1. [The first recommendation addressing the first question.]
2. [The second recommendation addressing the second question.]
3. [The third recommendation addressing the third question.]

DO NOT EXPLAIN YOUR RATIONALE FOR THE RECOMMENDATIONS. THAT INFORMATION BELONGS IN THE ANALYSIS SECTION.

Decision Criteria

[Write a short paragraph explaining the criteria selection and weighting based on stated goals. These criteria are indicators of achievement of goals.]

This section explains YOUR UNDERSTANDING of the criteria management will use to evaluate your recommendations. If it is incorrect, management will probably return the analysis to you for correction.

- Briefly list the criteria management is using to evaluate different options.
- Include criteria that support the specific goals of the study.
- **DO NOT INTRODUCE GENERIC CRITERIA THAT MAY NOT BE IMPORTANT TO THIS DECISION! THEY MAY AFFECT THE DECISION WITH NON-RELEVANT INPUT.**

Analysis

[FOR EACH MAJOR ISSUE/QUESTION], write a separate sub-section with 4 to 5 paragraphs covering:

- A statement of the specific issue in a short paragraph that defines the alternatives that will be evaluated for that issue.
- Analysis of alternatives – identifying each alternative's pros and cons in a separate paragraph.
- Recommendation and referral to decision matrix (refer to exhibit).
- Clear connection to a recommendation.

- Detailed analytical findings using multiple frameworks that integrate quantitative and qualitative data. These are presented in the Exhibits section, but you can refer to them here.
- **Uncertainty and risk:** when the alternatives involve money and an uncertain outcome, state the expected NPV of each, the worst case, and how much an estimate would have to change before the ranking flips (Exhibit Q-2). If you ran Exhibit Q-3, add the input that matters most and the probability of a loss. Report the facts; do not predict the outcome.

Conclusion

[Write 1-2 paragraphs summarizing:

- Key recommendations
- Support from decision criteria
- *Never state something as your belief or feeling. Management wants recommendations based on facts and logic, and you are no expert or Nostradamus.*
- *Never make a prediction statement, as you have no power over external factors that might make your recommendations fail.*

Exhibits

A. Guiding Questions

Q1: [Question from the case]

Response: [Clear analysis and answer]

For example:

- What is the core problem?
- Who are the key stakeholders?
- What are the time constraints?
- What resources are available?
- What are the key success metrics?

[Continue with additional questions]

Impact Summary—Guiding Questions

B. Key Issues

Central Problem: [State central issue]

Management Questions:

1. [First question]
2. [Second question]
3. [Third question]

[Continue with additional questions]

Required Goals:

1. [First goal]
2. [Second goal]
3. [Third goal]

[Continue with additional goals]

Impact Summary—Key Issues

IMPORTANT NOTE:

My goal in these remaining sections is to give you exposure to the analytical tools that follow. However, I don't expect you to spend much time creating these exhibits, as the Strat-IQ Toolkit I developed for you will quickly fill out the sections and give you a strong, fact-based approach to determining your recommendations. I'll leave it to you to use the tools to populate the exhibits. Remember – AI is the future!

Importantly, since you can use the AI tools to populate the exhibits below, you must provide a summary of the exhibit to illustrate an understanding of the exhibit.

C. Industry Overview

1. **Definition and scope:** What's in and out: products, segments, geography, value-chain stage
2. **Market size:** How big, by value and volume, with sources and definitions side by side
3. **Growth and projections:** Historical growth, then a forecast range from named sources
4. **Segments and customers:** Who buys, which segments are largest and fastest-growing (e.g. EV: BEV vs PHEV, China vs Europe vs US, premium vs mass)

5. **Industry economics and value chain:** How money is made, where along the chain margin sits, typical margin range, capital intensity
6. **Recent history:** The 6–12 significant events of the last 5–10 years and why each mattered
7. **Key players and level of competition:** Who the leaders are, their shares, concentration, consolidating or fragmenting
8. **Life-cycle stage:** Emerging, growth, shakeout, mature or declining, and what that implies for strategy
9. **Trends influencing the industry:** The top 3–5 forces of change, one line each

Impact Summary—Industry Overview

D. PESTEL Analysis

Political:

- [Government policies]
- [Political stability]
- [Trade restrictions]
- [Tax policies]
- [Industry regulations]

Economic:

- [Economic growth]
- [Interest rates]
- [Exchange rates]
- [Inflation rate]
- [Labor costs]

Social:

- [Demographics]
- [Cultural trends]
- [Lifestyle changes]
- [Consumer attitudes]
- [Education levels]

Technological:

- [Innovation rates]
- [Automation]
- [R&D activity]
- [Technology adoption]
- [Infrastructure]

Environmental:

- [Climate impact]
- [Sustainability]
- [Resource usage]
- [Energy concerns]

- [Waste management]

Legal:

- [Industry laws]
- [Employment laws]
- [Safety regulations]
- [Consumer protection]
- [IP regulations]

Impact Summary—PESTEL Analysis

E. Five Forces Analysis

Competitive Rivalry:

- [Current competition]
- [Market growth]
- [Exit barriers]
- [Differentiation]

Supplier Power:

- [Supplier concentration]
- [Switching costs]
- [Forward integration]
- [Input uniqueness]

Buyer Power:

- [Buyer concentration]
- [Purchase volume]
- [Switching costs]
- [Price sensitivity]

Threat of New Entrants:

1. [Entry barriers]
2. [Capital requirements]
3. [Scale economies]
4. [Distribution access]

Threat of Substitutes:

- [Available substitutes]
- [Switching costs]
- [Price-performance]
- [Buyer propensity]

Impact Summary—Five Forces Analysis

F: Strategic Map

Current map:**(Show chart)****Potential disruption(s):****(Show top 3 chart alternatives)****Impact Summary— Strategic Map**

G. Key Success Factors

1. [No. 1]**2. Etc.****Impact Summary— Key Success Factors**

H. Resources and capabilities

1. Resources

2. Capabilities

3. Core competencies

4. Competitive advantage

Impact Summary— Resources and capabilities

I. VRIO Analysis

Valuable Resources:

- [List key resources]
- [Explain value creation]

Rare Capabilities:

- [List unique capabilities]
- [Market position impact]

Inimitable Attributes:

- [List hard-to-copy elements]
- [Competitive advantage]

Organizational Support:

- [Systems and processes]
- [Cultural elements]

Impact Summary—VRIO Analysis

J. Value Chain

1. Commodity

2. Product

3. Custom

4. Genesis

Impact Summary— Value Chain

K. SWOT Analysis

Strengths:

- [List key internal strengths]

Weaknesses:

- [List key internal weaknesses]

Opportunities:

- [List key external opportunities]

Threats:

- [List key external threats]

Impact Summary—SWOT Analysis

L. Decision Criteria and Weights

Criterion	Weight (1-5)	Rationale
[Criterion 1]	[Weight]	[Explanation]
[Criterion 2]	[Weight]	[Explanation]
[Criterion 3]	[Weight]	[Explanation]
[Criterion 4]	[Weight]	[Explanation]

[Continue with additional criterion]

Impact Summary—Decision Criteria and Weights

M. Decision Matrix

[Issue number 1:]					
Criteria	Weight	Alt 1	Score	Alt 2	Score
[Criterion 1]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 2]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 3]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 4]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Continue with additional criteria]					
Total Score			[Sum]		[Sum]

[Issue number 2:]					
Criteria	Weight	Alt 1	Score	Alt 2	Score
[Criterion 1]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 2]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 3]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Criterion 4]	[Weight]	[Rating: 1-5]	[W×R]	[Rating: 1-5]	[W×R]
[Continue with additional criteria]					
Total Score			[Sum]		[Sum]

[Continue with additional issues]

Impact Summary—Decision Matrix

N. Pros and Cons Analysis

Issue	Pros:	Cons:
Issue 1: [Insert issue here]		
<i>Alternative 1</i>	• Pro list items	• Cons list items
<i>Alternative 2</i>	• Pro list items	• Cons list items
<i>Alternative 3</i>	• Pro list items	• Cons list items
Issue 2: [Insert issue here]		
<i>Alternative 1</i>	• Pro list items	• Cons list items
<i>Alternative 2</i>	• Pro list items	• Cons list items
<i>Alternative 3</i>	• Pro list items	• Cons list items

[Continue with additional issues]

Impact Summary—Pros and Cons Analysis

O. CLV (Segment Lifetime Value) Analysis

[Include if relevant to the case, and the data is provided. Otherwise, delete this section.]

- Customer acquisition cost
- Purchase frequency
- Average purchase value
- Customer lifespan
- Retention cost
- Profit margin

Impact Summary—CLV Analysis

The CLV analysis has a critical issue. Typically, students look at the value of one customer versus another. However, businesses want to know the value of market segments, not the lifetime value of one customer versus another. Multiply those numbers by an estimate of how many customers they could get ***if they focus on that alternative.***

The CLV Analysis section needs to focus on segment-level value:

O. Customer Segment Lifetime Value Analysis Template

Total Segment Value = (CLV per Customer × Estimated Segment Size)

For each market segment, analyze:

1. Individual Customer Metrics:

- Average purchase value
- Purchase frequency
- Expected relationship duration
- Cost to serve
- Profit margin per customer

2. Segment Size Factors:

- Total addressable market
- Expected market share
- Growth potential
- Market penetration rate
- Competition intensity

3. Calculate Total Segment Value:

Segment	CLV/Customer	Est. Customers	Total Value
Segment A	\$(value)	[number]	\$(total)
Segment B	\$(value)	[number]	\$(total)

Example Application: Premium vs. Ad-Supported Streaming:

- Premium: (\$180 annual × 5 years × 30% margin) × 50M potential customers
- Ad-Supported: (\$60 annual × 3 years × 20% margin) × 150M potential customers

Segment	CLV/Customer	Est. Customers	Total Value
Premium	\$270	50M	\$13,500M
Ad-Supported	\$36	150M	\$5,400M

This approach helps evaluate strategic alternatives based on total market opportunity rather than just individual customer value.

Optional Exhibits (Strat-IQ Parts 2 and 3)

These exhibits are not required. Use one only when it strengthens your argument; do not add them to pad the memo. Strat-IQ builds them from the inputs you confirm. Every one needs your own Impact Summary, and none of them states the recommendation: that is your job in the memo.

Exhibit	Use it when	Strat-IQ tool
J-1. Unit Economics	Profit per unit, break-even volume or customer acquisition cost matters to the decision	Unit Economics
K-1. Full Potential	You need to show how much better the company could perform, driver by driver	Full Potential
K-2. Growth Barriers	Growth is the issue and you need the one binding constraint	Growth Barriers
P. Strategic Options	You want to show the decision framing and your alternatives, including do nothing	Strategy Interview, Strategic Options
Q-1. Business Case	An alternative needs investment: NPV, IRR, payback, break-even	Business Case
Q-2. Expected Value	The outcome is uncertain and alternatives differ in risk	Expected Value
Q-3. Risk Analysis (new)	Management needs to know which estimate matters most, the chance of a loss, or whether a pilot is worth running	Business Case and Expected Value
R. Stress Test	You want to show the recommendation survives competitor responses and key risks	Stress Test
S. Implementation Plan	The questions include how to execute: priorities, first 100 days, milestones	Initiative Prioritizer, Execution Roadmap
T. Go-to-Market Plan	The decision involves winning customers in a new segment or market	Go-to-Market
U. Balanced Scorecard and Strategy Map	You need to show how success will be measured	Value Realization

Place J-1 after J, K-1 and K-2 after K, and P to U after O.

Q-2. Expected Value

Follows the course handout "Choosing Among Strategic Alternatives: Expected Value Analysis". Probabilities sum to 100% for each alternative; NPV in \$M.

Alternative	Strong (p × NPV)	Moderate (p × NPV)	Weak (p × NPV)	Expected NPV	Worst case
[A]	[30% × \$12M]	[50% × \$4M]	[20% × – \$6M]	[\$4.4M]	[-\$6M]
[B]					
Do nothing				\$0	\$0

Then state, in one sentence each:

- **Risk:** which alternative has the best worst case, and whether the company can absorb the leader's worst case.
- **Fragility:** how far the key probability must move before the ranking flips.
- **Value of information:** the most worth paying to learn which scenario is real before committing.

Impact Summary—Expected Value

Q-3. Risk Analysis (new)

Three tools, used as the decision requires. Strat-IQ calculates them from the business case inputs and ranges you confirm.

- **Sensitivity (tornado chart):** each input moved to its low and high value with the others at plan; the bar length shows how much NPV changes. Name the input that matters most.
- **Simulation (Monte Carlo):** thousands of runs with price, volume and cost drawn from ranges you set. Report the median NPV, the 10th to 90th percentile range, and the probability that NPV is below zero.
- **Pilot value (Bayesian update):** how a pilot's result would change the scenario probabilities and the best choice, and what the pilot is worth (EVSI) against its cost.

Measure	Result
Input that moves NPV most	[e.g. units: low to high moves NPV by \$X]
Median NPV (simulation)	[\$]
10th to 90th percentile	[\$ to \$]
Probability NPV < 0	[%]
Value of the pilot (EVSI) vs its cost	[\$ vs \$]

Impact Summary—Risk Analysis

Note: Use this template as a guide, adapting sections based on case requirements. Ensure all analyses directly support your recommendations and link to decision criteria.